

Poland: Nawrocki veto risk clouds revenue outlook

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【メール原文】

Fiscal consolidation is unlikely until after the 2027 parliamentary elections. The draft budget adopted at the end of August puts the general government deficit at 7.1% of GDP in both 2026 and 2027. This number is among the largest in the EU and worse than the European Commission's May projections of 6.5% and 6.3%. Poland still complies with the EU expenditure path, but only once the national escape clause for defense spending is applied.

Poland

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Poland will defer fiscal consolidation until after the 2027 election

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Short-term trajectory:

Long-term trajectory:

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At 7.1% of GDP, Poland's planned deficit is among the EU's largest and will stay there until at least 2028, when consolidation may begin after the autumn 2027 elections.

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The budget's revenue targets depend heavily on new taxes that President Karol Nawrocki is likely to veto, raising the prospect of further fiscal slippage beyond current projections.

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Defense spending will become an increasingly important contributor to Poland's growth, with €43.7 billion in preferential loans from the EU's Security Action for Europe (SAFE) instrument carrying a growing share of the cost.

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Even more fiscal slippage is likely in 2027 ahead of the elections. Revenue increases are projected to come from a new digital tax and higher corporate rates as well as high dividend payments from state-controlled companies, expected at 13.9 billion Polish zloty (53% higher than in 2026). Nawrocki, who has already blocked or deferred revenue measures worth PLN 8 billion, will likely veto most of the proposed new taxes.

Public debt will therefore keep rising as persistent deficit and defense commitments outweigh consolidation (see chart below), with debt service passing PLN 100 billion (2.4% of GDP) for the first time. Under the national methodology, debt stops just short of the 55% threshold that would force mandatory budget restrictions. A potential breach would affect only the 2029 budget.

Failure to adopt new taxes and legislation, likely because of presidential vetoes, will probably weaken Prime Minister Donald Tusk's prospects in the 2027 parliamentary elections, though a Tusk victory remains the most likely outcome (see practice letter, Russia and China escalation risks to dominate

European politics this fall). The president cannot veto the budget, but he can significantly delay its passage into 2027. Such delays will likely give the opposition more grounds to question Tusk's ability to govern. Tusk managed that challenge well last year, but pressure will be greater in 2027. August polling already shows his party down two percentage points, to just above 30% and still in first place—a decline that reflects both its difficulty passing legislation and domestic party scandals. Continued strong growth remains a stabilizing factor.

Growth will stay strong, though weaker external demand and high energy prices remain a risk. Following robust GDP growth of 3.6% in both 2025 and the first half of 2026, and with Poland remaining among the EU's fastest-growing economies, the government forecasts growth of 3% and inflation of 2.8% in 2027, broadly in line with consensus. The IMF is more cautious at 2.4% growth. Higher global energy prices will be a major risk for Poland's fiscal ratio, while euro area weakness could weigh on growth and reduce budget revenues.

EU loans will carry a growing share of Poland's rearmament. As the largest recipient of the EU's SAFE instrument, Poland has secured €43.7 billion in preferential loans. The government says close to 90% of the defense ministry's share will be spent domestically.

The 2027 draft trims defense spending for the first time since 2020, to PLN 198.1 billion, or 4.5% of GDP from 4.8% this year, but deliveries will not slow. The finance ministry expects a record year for equipment; SAFE-financed purchases are exempt from VAT, so the same money buys more. The government has already signed 62 defense contracts worth PLN 119.1 billion (approximately \$32 billion), with a further PLN 13.7 billion (\$3.7 billion) in option rights.

The contracts were signed by the end of May and spending will be distributed across 2026–2030 through semi-annual SAFE loan disbursements, insulating procurement from year-to-year budget pressures including the revenue shortfalls and presidential vetoes. The largest recipients of the contracts include subsidiaries of state-owned defense group Polska Grupa Zbrojeniowa (PGZ)—such as Huta Stalowa Wola, Mesko, Maskpol, and Jelcz—as well as private defense company WB Group.

Defense will remain a priority, driven by Russia's threat to regional security. Poland spends nearly 5% of GDP on defense, among the highest in NATO (see chart below). Defense expenditure has risen from 2.2% of GDP in 2022 to 4.2% in 2024 and is expected to reach 4.8% in 2026. The build-up began under the previous Law and Justice (PiS) government and has been sustained by Tusk's government since December 2023.

Tusk has seen cross-party support, reinforced by incidents including Russian missiles entering Polish airspace during attacks on Ukraine, the discovery of a Russian-linked sabotage network targeting infrastructure in Poland in 2024, drone incursions, and continued GPS signal interference affecting navigation across the Baltic region.

These concerns have sustained higher defense spending across successive governments, making military investment one of the few areas of broad political consensus—and a policy priority likely to endure regardless of the 2027 election outcome.

Orsolya Raczova
Senior Analyst, Central & Eastern Europe
raczova.ne@eurasiagroup.net
Pietro Guglielmi
Senior Analyst, Geoeconomics
+44 207 375 6937
guglielmi@eurasiagroup.net
EG Europe
europe@eurasiagroup.net

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